

The real reason why politicians talk about pensions but don't fix them? Money¹

By: Sutirtha Bagchi

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With the election to see who will be Pennsylvania's governor about to be decided on Tuesday, the talk of pension reform is part of Governor Corbett's campaign, and rightly so.

But how did we into these dire straits to begin with?

Unfunded pension liabilities have ballooned in a number of states, in particular, Illinois, Kentucky, and Connecticut, each of which have less than half of the assets necessary to fund their pension liabilities.

Prompted by concerns about the large increases in unfunded liabilities, credit rating agencies Moody's, S&P, and Fitch decided to factor in a state's pension burden in rating bonds issued by state governments.

Concerns about the fiscal health of pension plans in Illinois prompted numerous ratings downgrades of state debt by these agencies in 2013.

Although Pennsylvania's situation is better than that of a number of states including neighboring New Jersey, it too faces a challenging environment for pensions.

The actuarial funded ratio across the two state plans that cover general employees, state police, and teachers slipped from 75 percent in 2010 to 64 percent in 2012.

The deteriorating fiscal outlook for Pennsylvania's pensions and the lack of a clear plan to stabilize the growth in these liabilities were a contributing factor to the ratings downgrades by Moody's and Fitch in July and September of 2014.

Pension liabilities are not confined to the state government alone. A number of Pennsylvania's municipalities also face their own pension challenges.

Philadelphia City, the largest municipality by far in the Commonwealth, faces an unfunded liability of \$4.8 billion.

The attempts by Mayor Michael Nutter to privatize the city's utility provider, Philadelphia Gas Works were motivated in part by the desire to use the proceeds from the sale for plugging holes in the city's pension fund.

No single factor explains the prevalence of unfunded pension obligations across the entire country.

The stock market declines at the start of the new millennium and then again in 2008-2009 during the Great Recession contributed substantially to the growth in unfunded liabilities.

Increases in longevity have also played a role as employers are on the hook for funding more years of retirement for their workers than ever before.

But the most important contributing factor is the promise by political candidates when they run for office to raise pension benefits without offsetting them with tax increases or cuts in services.

¹ https://www.pennlive.com/opinion/2014/11/the_real_reason_why_politician.html

Former Gov. Tom Ridge began a process of enhancing the generosity of pension benefits that has been a major contributor to the growth in rise of unfunded liabilities; liabilities that Gov. Tom Corbett has not dealt with meaningfully and on which Democratic challenger Tom Wolf has remained silent.

States and local governments operate under balanced budget requirements and have to balance revenues and expenditures in any given year.

One workaround such balanced budget requirements by candidates running for office has been to promise workers generous pension benefits that are due out in the future in return for concessions on current labor contracts.

Such a move enables elected leaders to pass on the costs of generous pensions to the next generation of taxpayers and not deal with the electoral consequences of either cutting spending or raising taxes today and thereby avoid the wrath of voters.

Voters who are unable to comprehend the full complexity of public-sector pensions fail to hold politicians accountable for this mismatch between promises made and assets set aside to pay for the benefits promised to public-sector workers.

Although the incentives to promise generous benefits to public-sector workers in the future and not pay for those promises in the form of taxes today is appealing to all politicians, those incentives are strongest in jurisdictions which are politically competitive and where both political parties have a realistic shot of coming to office in the next election cycle.

The tendency to make promises by one party to outdo the other results in areas with significant political competition having pension plans that are more generous and less funded than areas that are otherwise similar.

My research on unfunded pension liabilities demonstrates a connection between higher levels of political competition and lower levels of pension plan funding for plans operated by various state and municipal governments.

The greater the competition, the more frequent the promise of raising pensions by candidates to woo the public sector voters who will be motivated to go to the ballot box and vote for the politicians promising them the highest level of benefits.

In the end, reforming public pensions is a matter of political resolve. One constituency to which elected leaders appear somewhat responsive are the investors in municipal bonds.

Repeated credit downgrades for the state of Illinois led to increases in their borrowing costs that spurred the Illinois state legislature to enact modest pension reforms at the end of 2013 that were signed into law by Gov. Pat Quinn.

Let's hope that doesn't happen in the Commonwealth state, and the winning candidate has the political will to administer with an eye towards the fiscal health of all Pennsylvanians.

Sutirtha Bagchi is an assistant professor of economics at Villanova University.